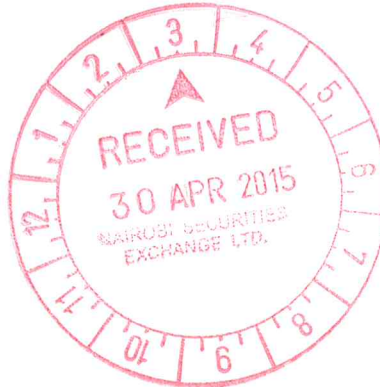


Mr Andrew Wachira  
The Chief Executive  
Nairobi Securities Exchange  
No. 55, Westlands Road  
NAIROBI



30 April 2015

**Subject: CROWN PAINTS KENYA LIMITED**

Dear Sir

**AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014**

In accordance with the respective statutory obligations, I write to you as follows:

**a) Appointment of a Director**

In accordance with Obligation CO.G.05 of the Fifth Schedule to the Capital Markets Regulations and Disclosure Requirements for Public Offers and Listing of Securities, 2002, the Company announces the appointment of Steven Bwire Oundo as a Director of the Company with effect from 29 April 2015.

**b) Approval of financial results for the year ended 31 December 2014**

The Board of Directors of Crown Paints Kenya Limited approved the audited financial results for the year ended 31 December 2014 on 29 April 2015. In accordance with obligation B.29 of the fifth schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, we enclose, for your information, an advance copy of the press announcement which will be published in two local dailies tomorrow.

**c) 2015 Annual General Meeting**

In accordance with obligation B.05 of the fifth schedule to the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002, the Board of Directors have resolved to hold the Annual General Meeting of the Company on Tuesday, 23 June 2015.

**d) Dividend and Closure of the Register of Members**

The Directors have recommended, subject to the approval of the Shareholders, to pay a dividend of KShs 1.75 per share to the shareholders on the Register at the close of business on 24 June 2015.

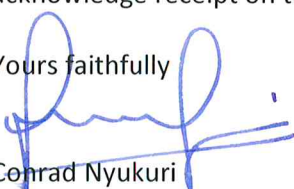
**e) Bonus Issue**

The Directors have recommended a bonus issue of two shares for every one share held for approval by the Shareholders at the Annual General Meeting subject to receiving the necessary regulatory approvals

Further, upon approval by the Shareholders, the Register of Members will be closed at 4.30 pm on 24 June 2015 (for one day).

A press announcement on the above matters will be published in the newspapers, tomorrow. Kindly acknowledge receipt on the duplicate of this letter.

Yours faithfully



Conrad Nyukuri  
Secretary to Crown Paints Kenya Limited

Encls

cc Patrick Mwati (by e mail)

Uttam Rathore (by e mail)

## CROWN PAINTS KENYA LIMITED AND SUBSIDIARIES

## ABRIDGED GROUP FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2014

STATEMENT OF FINANCIAL POSITION  
AS AT 31 DECEMBER

|                                     | 2014<br>KShs'000        | 2013<br>KShs'000        | 2014<br>KShs'000        | 2013<br>KShs'000        |
|-------------------------------------|-------------------------|-------------------------|-------------------------|-------------------------|
| <b>ASSETS</b>                       |                         |                         |                         |                         |
| NON-CURRENT ASSETS                  | 986,171                 | 778,081                 | 1,144,506               | 974,898                 |
| CURRENT ASSETS                      | 2,866,643               | 2,167,353               | 3,148,382               | 2,221,500               |
| <b>TOTAL ASSETS</b>                 | <b><u>3,852,814</u></b> | <b><u>2,945,434</u></b> | <b><u>4,292,888</u></b> | <b><u>3,196,398</u></b> |
| <b>EQUITY AND LIABILITIES</b>       |                         |                         |                         |                         |
| <b>EQUITY</b>                       |                         |                         |                         |                         |
| Share capital                       | 118,635                 | 118,635                 | 118,635                 | 118,635                 |
| Reserves                            | 1,228,696               | 1,243,079               | 1,744,356               | 1,562,114               |
|                                     | <b>1,347,331</b>        | <b>1,361,714</b>        | <b>1,862,991</b>        | <b>1,680,749</b>        |
| <b>NON-CURRENT LIABILITIES</b>      |                         |                         |                         |                         |
| Deferred tax                        | 4,925                   | 14,922                  | 4,925                   | 14,922                  |
| <b>CURRENT LIABILITIES</b>          | <b>2,500,558</b>        | <b>1,568,798</b>        | <b>2,424,972</b>        | <b>1,500,727</b>        |
| <b>TOTAL EQUITY AND LIABILITIES</b> | <b><u>3,852,814</u></b> | <b><u>2,945,434</u></b> | <b><u>4,292,888</u></b> | <b><u>3,196,398</u></b> |

ABRIDGED STATEMENT OF COMPREHENSIVE INCOME  
FOR THE YEAR ENDED 31 DECEMBER

|                                   | Group<br>2014<br>KShs'000 | 2013<br>KShs'000 | Company<br>2014<br>KShs'000 | 2013<br>KShs'000 |
|-----------------------------------|---------------------------|------------------|-----------------------------|------------------|
| <b>REVENUE</b>                    | <b>6,039,061</b>          | <b>5,158,992</b> | <b>5,804,909</b>            | <b>5,005,269</b> |
| OTHER INCOME                      | 144,397                   | 83,738           | 128,960                     | 77,607           |
| <b>PROFIT BEFORE TAX</b>          | <b>151,481</b>            | <b>333,442</b>   | <b>351,363</b>              | <b>358,536</b>   |
| TAX EXPENSE                       | (131,766)                 | (119,599)        | (131,766)                   | (119,599)        |
| <b>PROFIT FOR THE YEAR</b>        | <b>19,715</b>             | <b>213,843</b>   | <b>219,597</b>              | <b>238,937</b>   |
| Other comprehensive income        | 3,257                     | (2,575)          |                             |                  |
| <b>Total comprehensive income</b> | <b>22,972</b>             | <b>211,268</b>   | <b>219,597</b>              | <b>238,937</b>   |

|                                      |      |      |      |       |
|--------------------------------------|------|------|------|-------|
| Basic and diluted earnings per share | 0.83 | 9.01 | 9.26 | 10.07 |
|--------------------------------------|------|------|------|-------|

CONSOLIDATED STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 31 DECEMBER 2014

|                                                            | 2014<br>KShs'000 | 2013<br>KShs'000 | 2014<br>KShs'000 | 2013<br>KShs'000 |
|------------------------------------------------------------|------------------|------------------|------------------|------------------|
|                                                            | Group            |                  | Company          |                  |
| <b>Cash flows generated from operations</b>                | <b>(9,822)</b>   | <b>110,770</b>   | <b>(62,612)</b>  | <b>74,781</b>    |
| Income tax paid                                            | (183,566)        | (158,817)        | (181,420)        | (158,785)        |
| Interest received                                          | 2,429            | 1,563            | 2,429            | 1,563            |
| Interest paid                                              | (87,888)         | (30,102)         | (87,578)         | (30,102)         |
| Net cash generated from operating activities               | (278,847)        | (76,586)         | (329,181)        | (112,543)        |
| Net cash used in investing activities                      | (335,017)        | (210,636)        | (277,931)        | (207,186)        |
| Net cash (used in) /generated from financing activities    | 384,742          | 195,522          | 384,742          | 195,521          |
| <b>Net increase in cash and cash equivalents</b>           | <b>(229,122)</b> | <b>(91,700)</b>  | <b>(222,370)</b> | <b>(124,208)</b> |
| Cash and cash equivalents at the beginning of the year     | 68,198           | 172,112          | 26,635           | 157,549          |
| Foreign translation currency reserve                       | 3,257            | (2,575)          |                  |                  |
| Effect of exchange rate changes on cash & cash equivalents | (14,465)         | (9,639)          | (8,873)          | (6,706)          |
| <b>Cash and cash equivalents at the end of the year</b>    | <b>(172,132)</b> | <b>68,198</b>    | <b>(204,608)</b> | <b>26,635</b>    |

The audited results for the year ended 31 December 2014 reflect a turnover of Ksh. 6billion registering a 17% growth over last year (Ksh5.2billion). However, the profit before tax decreased to Ksh 151Million which is a 55% decline over last year (Ksh 333 Million). The group liquidity declined leaving its cash flows generated from operations at a negative Ksh 9 Million, compared to previous year of Ksh 111 Million. EPS declined to Ksh 0.83 per share (2013 – Ksh 9.01).

#### Dividend

Despite the decline in earnings, the Directors recommend the payment of a final dividend of 35% or Ksh 1.75 per share for the year ended 31 December 2014 (2013 Ksh 1.75), subject to withholding tax where applicable.

**Bonus Issue**

The Directors have recommended a bonus issue of two shares for every one share held for approval by the Shareholders at the Annual General Meeting subject to receiving the necessary regulatory approvals.

The address of the Share Registrar is Custody and Registrar Services Limited, 6th Floor Bruce House, Standard Street, P.O.Box 8484, 00100, Nairobi.

**Annual General Meeting**

The 58th Annual General Meeting of the Company will be held at the Panafric Hotel, Kenyatta Avenue, Nairobi on Tuesday 23rd June 2015 at 11.00 am.

By order of the Board

Conrad Nyukuri

Company Secretary

30<sup>th</sup> April, 2015